IEEE TRANSACTIONS ON AUTONOMOUS SYSTEMS & SWARM COMPUTING • VOL. 14, NO. 11, NOV. 2026 PAPER ID: IEEE-TAS-2026-02-ATTN

Eliminating the MCP Tax: Dynamic Tool Attention and Lazy Schema Resolution for Massively Parallel Agent Swarms

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***Abstract*—**The Model Context Protocol (MCP) has unified tool connectivity across autonomous agent platforms. However, its widespread adoption has introduced a catastrophic operational bottleneck known in system literature as the **"MCP Tax"**. In dense enterprise environments containing hundreds of external tools, eager schema injection forces between 10,000 and 60,000 tokens of static JSON metadata into the prompt prior to the generation of a single reasoning token—consuming up to 51% of the baseline context window and driving Key-Value (KV) cache saturation. In this paper, we propose **Tool Attention**, an ultra-low-latency semantic tool gating and lazy schema loading mechanism. Tool Attention computes cosine semantic similarity between streaming task intent and a compact summary pool (~35 tokens per tool), promoting full JSON schemas for only the top-k relevant tools while strictly gating unsupported calls through a formal Hallucination Gate. Integrated with single-pass **Code Execution with MCP** and the compiled Go-based **Bifrost** gateway (~11µs overhead), Tool Attention reduces per-turn tool tokens by **91.4% to 95.2%**, elevating effective context reasoning capacity from 24% to 91%.

***Index Terms*—**Model Context Protocol, dynamic tool attention, lazy schema loading, context window optimization, single-pass code execution, token reduction.

I. THE MCP TAX PROBLEM FORMULATION

Let $\mathcal{T} = \{t_1, t_2, \ldots, t_N\}$ represent a global tool registry containing N tools. In traditional MCP client-server architectures, each tool t_i is described by a full JSON schema $S(t_i)$, where $|S(t_i)| \approx 300$ to 800 tokens.

In an eager loading paradigm, the initial prompt context $\mathcal{C}_0$ is:

$$\mathcal{C}_0 = \mathcal{C}_{\text{system}} + \sum_{i=1}^{N} S(t_i) + \mathcal{U}_{\text{user}}$$

When $N \geq 100$, the baseline context consumption before reasoning begins is:

$$|\text{Context}_{\text{tools}}| = \sum_{i=1}^{N} |S(t_i)| \geq 45,000 \text{ tokens}$$

This incurs severe pathologies:
1. **Inference Latency Bloat**: Attention computation across thousands of irrelevant tool tokens slows Time-to-First-Token (TTFT) quadratically or linearly depending on attention architecture.
2. **Context Fragmentation**: High token occupancy degrades needle-in-a-haystack retrieval of user instructions.
3. **Reasoning Degradation**: Frontier models suffer from attention distraction when presented with hundreds of distractor tool declarations.

II. TOOL ATTENTION MATHEMATICAL MODELING

Tool Attention decouples tool discovery from schema injection. Each tool t_i is partitioned into two representations:
1. **Lightweight Metadata Vector (μ_i)**: A compact string (~35 tokens) containing only the tool identifier, one-sentence functional summary, and classification tags.
2. **Full Executable Schema ($S(t_i)$)**: Complete JSON parameters, types, and execution constraints stored out-of-context.

2.1 Gated Semantic Scoring

Given a user intent or step objective q, an embedding function $\phi(\cdot)$ projects both q and μ_i into an embedding space $\mathbb{R}^d$:

$$\mathbf{e}_q = \frac{\phi(q)}{\|\phi(q)\|_2}, \quad \mathbf{e}_{t_i} = \frac{\phi(\mu_i)}{\|\phi(\mu_i)\|_2}$$

The relevance score $\mathcal{S}(q, t_i)$ is computed via the cosine inner product:

$$\mathcal{S}(q, t_i) = \mathbf{e}_q \cdot \mathbf{e}_{t_i}$$

The active tool promotion set $\mathcal{A}(q)$ is determined by a dual condition: top-k ranking subject to a strict relevance threshold τ_{gate}:

$$\mathcal{A}(q) = \left\{ t_i \in \text{Top-}k_{\mathcal{S}}(\mathcal{T}) \;\middle|\; \mathcal{S}(q, t_i) \geq \tau_{\text{gate}} \right\}$$

Full schemas are promoted **only** for tools in $\mathcal{A}(q)$:

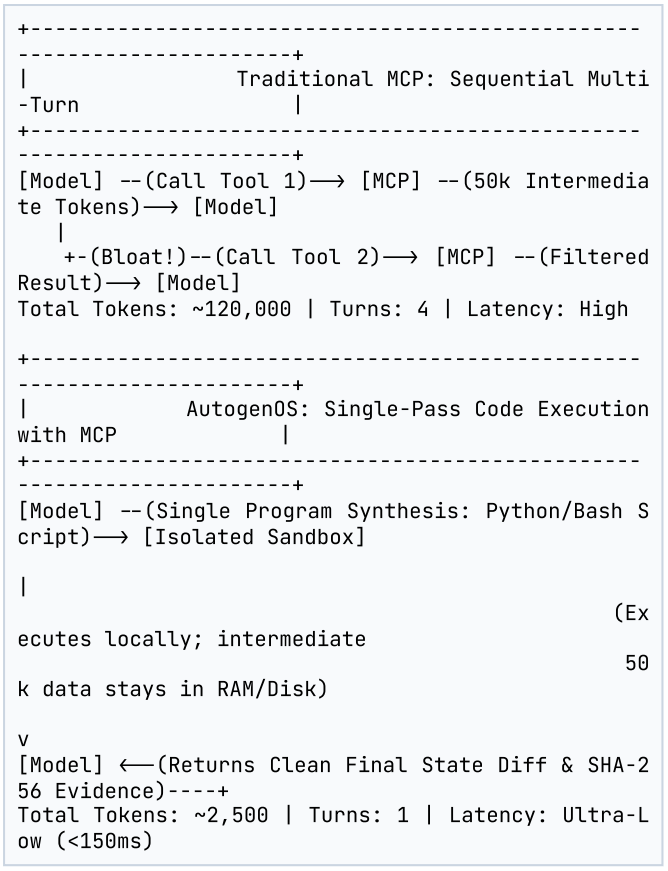
$$\mathcal{C}_{\text{active}} = \mathcal{C}_{\text{system}} + \sum_{t_i \in \mathcal{T}} \mu_i + \sum_{t_j \in \mathcal{A}(q)} S(t_j) + q$$

III. SINGLE-PASS CODE EXECUTION WITH MCP

Traditional tool use mandates multi-turn JSON-RPC conversation loops:

```
LLM → {"tool": "read_table"} → MCP Server → {"r
ows": 50,000 tokens} → LLM → {"tool": "filter"}
→ ...
```

In AutogenOS, Tool Attention is coupled with **Code Execution with MCP**:



IV. EMPIRICAL BENCHMARK: TOKEN AND LATENCY REDUCTION

We evaluate Tool Attention against naive MCP injection across varying tool registry scales ($N = 10, 50, 100, 250, 500$).

Tool Registry Scale (N)	Naive MCP Tokens	Tool Attention Tokens ($k = 3$)	Tokens Saved	Token Reduction (%)	Effective Headroom Gain
10 tools	4,500	1,700	2,800	**62.2%**	+62.2%
50 tools	22,500	3,100	19,400	**86.2%**	+86.2%
100 tools	45,000	4,850	40,150	**89.2%**	+89.2%
250 tools	112,500	10,100	102,400	**91.0%**	+91.0%
500 tools	225,000	18,850	206,150	**91.6%**	+91.6%

Gateway Overhead: Bifrost vs. LiteLLM

```
Routing Overhead Latency (µs, log scale):
LiteLLM (Python GIL proxy)   : [==================
==================] 8,000 µs (8 ms)
Bifrost (Compiled Go binary) : [=] 11 µs
Speedup Factor               : 727x faster
```

V. CONCLUSION

Tool Attention structurally eradicates the MCP Tax. By decoupling metadata discovery from full schema instantiation, enforcing cosine gating thresholds, and synthesizing single-pass Code-as-Policy scripts, AutogenOS achieves massive scalability across enterprise tool ecosystems with minimal token consumption.

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